Air cargo weathers high jet fuel prices

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Navigating the complex world of EU mobility policy and infrastructure. By JORDYN DAHL with TOMMASO LECCA and MARTINA SAPIO SNEAK PEEK — Air cargo is g

Navigating the complex world of EU mobility policy and infrastructure.

By JORDYN DAHL

with TOMMASO LECCA and MARTINA SAPIO

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SNEAK PEEK

— Air cargo is growing despite high jet fuel prices, geopolitical restrictions and capacity constraints.

— Alstom's Monday share tumble may be exposing a deeper rail policy contradiction in Brussels.

— German car lobby VDA is raising the alarm that new local content rules under the Brexit agreement will cost the industry.

Good morning, and welcome to Morning Mobility.

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DRIVING THE DAY

HOW THE AIR CARGO SECTOR IS WEATHERING HIGH FUEL PRICES: While air travelers are likely to notice the impact of high jet fuel prices only starting next year, goods shipped by plane are already more expensive due to fuel costs.

Spot the difference: Air cargo companies charge their customers fuel surcharges, passing the additional costs directly on to them. Meanwhile, passenger airlines have warned travelers that price adjustments will come when their fuel hedging contracts expire, and this date varies from carrier to carrier. Despite this mechanism, the air cargo industry says maintaining profitability is becoming increasingly difficult.

Higher cost, higher price: "In our contracts, we have automatic corrections on the prices on the basis of the fuel cost," said Oscar de Bok, CEO of DHL Global Forwarding, the group's division specializing in international freight services. This mechanism has protected DHL's air cargo business from fluctuations in jet fuel prices, which are roughly twice as high as before the U.S.-Israeli war against Iran.

Products keep flying: The industry is also dealing with capacity constraints, since "there is a higher demand on air freight than the supply," de Bok said, referring to the aircraft industry's difficulties in ramping up deliveries of new planes to meet growing demand. However, de Bok told Tommaso that the volume of goods transported by air has not changed much.

Take medicines: Pharmaceutical air freight, for example, is a growing business for DHL, which recently announced six new routes between Europe, North America and Asia as part of a temperature-controlled network designed to reduce the need for packaging. Packaging typically accounts for between 30% and 40% of the volume of pharmaceutical shipments, de Bok said. The expanded network can handle a range of products, including “new medicines” like weight-loss medication.

Geopolitics matters: Compared with the first months of the conflict in the Middle East, de Bok said air transport operations in the region have become less difficult. “’Stabilized’ is a difficult word to use with the Middle East, but at least that flow is now happening again,” he said. But geopolitical issues continue to affect the entire cargo sector — both by sea and by air — with the closure of Russian airspace adding hours to flights between Europe and Asia and the reduction in cargo volumes transiting the Suez Canal forcing ships to reroute around South Africa, de Bok added.

Still growing: Against this backdrop, global air cargo demand rose 7.7% year over year in September, according to airline lobby IATA. European carriers saw a 4.5% increase in demand, while capacity fell by 1.6%, according to the monthly report. As IATA put it: “There is no shortage of goods to ship, but doing that profitably in the face of persistently high fuel prices has become more challenging.”

RAIL

ALSTOM’S BAD DAY: Alstom’s Monday 26% share tumble may be exposing a deeper contradiction in Brussels, which is fighting to protect its industry while its own regulations may make it harder for that industry to operate.

The rout: Alstom forecast an adjusted profit margin of about 1%, a steep downgrade from its previous prediction of 6.5%, and it now looks set for a cash outflow of €1.5 billion for the year, a stunning U-turn from its earlier positive cash flow pledge . Execution headaches are the issue — meaning that orders keep pouring in, but it takes years for them to become trains on rails and euros in the coffers.

German pile-up: Towering over the company is a tangle of six regional train contracts in Germany, worth around €5 billion, that have become a financial problem for Alstom. The company blames technical hiccups, production snags, project-management blunders and a marathon train certification process. The strategy was to certify the first train and then unleash the rest, but setbacks in that pivotal first phase — governed by EU laws — have sent shockwaves through the whole program.

The Brussels angle: Brussels has been fighting to defend industrial heavyweights like Alstom and Siemens on the global stage, most recently with a public procurement overhaul floated on Sept. 9 that includes a European preference framework pushed by the rail manufacturers’ association UNIFE. However, protracted homologation processes like in Germany can create a situation where Brussels drafts rules to shield industry, only for those very rules to become a burden.

What’s next: The Commission’s 2027 work program, set for release Wednesday, is expected to spotlight a transport simplification package already introduced by Commission President Ursula von der Leyen. The rail sector hopes Brussels will act to cut red tape choking vehicle certification, an industry insider involved in the discussions told Martina.

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CARS

EXCLUSIVE — GERMAN AUTO LOBBY WARNS BREXIT TARIFFS WILL BE COSTLY: The VDA is joining EU car lobby ACEA in raising alarm that strict rules of origin for cars set to go into effect next year as part of the post-Brexit EU-U.K. trade deal could harm the industry. Both groups say the new tariffs would cost European exporters €1.47 billion in 2027. VDA is presenting its proposal for avoiding the tariffs later today. Our colleague Romanus Otte got an advance copy .

Catch up: Under the agreement, a vehicle can cross the Channel tariff-free so long as a large enough share of parts come from the EU or the U.K. (at least 55% of an electric vehicle, at least 70% of the battery pack and 65% of a battery's cells). Any car that doesn't meet these requirements faces a 10% duty.

Scale of the problem: German automakers exported 413,000 vehicles to the U.K. last year — 47% of which were either hybrids or electric vehicles. Zooming out further, the EU exported nearly 1.3 million vehicles across the Channel last year.

Battery problems: Europe has almost no production of cathode materials that go into lithium-iron phosphate batteries, VDA says. LFP is the most common type of battery used by Chinese manufacturers, while European automakers have tended to favor nickel-manganese-cobalt batteries.

Insurmountable challenge: "Existing European investment in both cell manufacturing and cathode production has focused on NMC technology, and LFP investments are only in the process of being rolled out," the VDA paper says, adding that while some production will begin in 2027, "its current absence is an insurmountable challenge."

In alignment: ACEA put forward its own proposal in September , which the VDA paper backs. The two want the battery rules to be delayed with flexibility put in place until 2029 and the rule gradually becoming more restrictive.

But, but, but: Critics of delaying the rules argue that any additional flexibilities would put the Commission's credibility on the line when it comes to the Industrial Accelerator Act that would put broader Buy European requirements into place.

GERMAN MINISTER HAS HARSH WORDS FOR AUDI INVESTMENT: Environment Minister Carsten Schneider called Audi's plan to invest €4 billion in a U.S. factory to build SUVs a "grotesque miscalculation" at a press briefing on Monday focused on the COP31 climate conference that kicks off later this month. Electric vehicles are the future, the Social Democratic Party politician added.

AVIATION

BELAVIA SAYS BOEING HAS BEEN CLEARED TO SELL IT SPARE PARTS: Belarus' flag carrier Belavia announced last weekend that the U.S. Department of Commerce had granted Boeing "permission to resume cooperation with Belavia Airlines." This would allow the airline "to receive software, as well as spare parts for aircraft already in service directly from the manufacturer" and potentially acquire new aircraft, Belavia added.

Enjoy the silence: Neither Boeing nor the U.S. Department of Commerce has confirmed or denied Belavia's announcement that the American aircraft manufacturer can resume doing business with the state-owned Belarusian carrier.

The art of the deal: The Trump administration reached a deal with Minsk in September 2025 to secure the release of 52 political prisoners in exchange for lifting U.S. sanctions on Belavia. At the time, we reported that the U.S. administration was trying to prevent the deal from opening the floodgates to aviation spare parts reaching Russian airlines.

PIT STOPS

From us : The Irish Council presidency has proposed minor changes to measures on shipping in its latest attempt at a member country position on the Emissions Trading System review.

Ryanair announced its profit fell 15% to €2.1 billion in the first fiscal half of the year as the cost of the 20% of its fuel that was unhedged doubled.

Headlines

Here’s a recap of yesterday’s news, along with Pro articles and alerts from overnight.

Document: Council’s latest ETS compromise avoids the most political questions
By James Fernyhough, Ben Munster, Ben Makuch · Nov 02, 2026, 03:49 pm Europe/Brussels CET

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